

# Olist Order Growth & Review Score — Action Plan

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## Problem Statement

Order growth has flattened mainly because **new-customer acquisition has plateaued** — repeat customers hold steady at just ~**3.0%** of orders every month (vs. a ~20–30% industry benchmark), so a shift in repeat behavior cannot explain the slowdown. Within that small repeat channel, **delivery delay is the dominant driver of review score** (2.58-pt spread across delay buckets, vs. 1.16 for seller and 0.89 for category) and measurably suppresses repeat purchases (2.53% repeat rate after a late first order vs. 3.03% after on-time,  $p = 0.026$  — real, not noise). Decomposing delay further, **carrier transit time** (corr.  $-0.30$  with score) is the fixable root cause, not seller handoff speed (corr.  $-0.08$ ) — so the fix should target carrier performance and at-risk-order recovery, not a vague “logistics” catch-all.

## Recommendations — Impact vs. Effort

| Recommendation                                                                                                                                          | Impact | Effort | Why it works                                                                                                                                                                      |
|---------------------------------------------------------------------------------------------------------------------------------------------------------|--------|--------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>1. Recover at-risk first-time buyers</b> — proactive delay alerts + a win-back offer (credit/discount) for customers whose first order arrives late. | High   | Low    | A late first order significantly cuts repeat odds (2.53% vs 3.03%, $p=0.026$ ). This is the single most targeted fix for the growth-flattening problem.                           |
| <b>2. Tighten carrier SLAs</b> — renegotiate contracts / add backup carriers and track on-time performance by carrier and route.                        | High   | Medium | Carrier-side delay correlates far more with review score ( $-0.30$ ) than seller handoff delay ( $-0.08$ ) — it’s the real, fixable root cause behind Finding 2’s 2.58-pt effect. |
| <b>3. Tiered seller performance program</b> — quality SLAs and support focused on the top-revenue seller tier first.                                    | Medium | Low    | Top 20% of sellers already drive 82.7% of revenue, so even modest quality gains here move the needle disproportionately with minimal rollout effort.                              |
| <b>4. Fix the pre-shipping funnel leak</b> — automated alerts on orders stuck in invoiced/processing/created status.                                    | Low    | Low    | 0.63% of all orders never even reach a carrier — a small but pure, cheap-to-close loss.                                                                                           |
| <b>5. Deprioritize response-time &amp; category-level fixes for now.</b>                                                                                | Low    | —      | Response time to 1–2★ reviews already matches the overall average (72.9 vs 75.5 hrs); category effect size (0.89 pts) is the weakest of the three drivers tested.                 |

## KPIs to Track Post-Implementation

| KPI                                                     | Current Baseline                     | Direction of Success    |
|---------------------------------------------------------|--------------------------------------|-------------------------|
| Repeat-purchase rate after on-time vs. late first order | 3.03% vs. 2.53%                      | Gap narrows toward 0    |
| Carrier on-time delivery rate (by carrier / route)      | Corr. w/ score: $-0.30$              | Fewer late carrier legs |
| Avg. review score by delivery-delay bucket              | 4.30 (Very Early) → 1.72 (Very Late) | Late-bucket scores rise |
| Orders stuck pre-shipping (never reach carrier)         | 0.63%                                | Trend toward 0%         |
| Overall repeat-purchase rate                            | 3.00% (benchmark ~20–30%)            | Steady upward trend     |

*Note: growth also appears to flatten partly due to a data-collection cutoff (Sep–Oct 2018 show only 16 and 4 orders respectively) — this is a dataset artifact, not a business signal, and is excluded from the recommendations above.*